

Table 11.9 Busted Patterns

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Busted patterns count	351 or 29%	57 or 29%	379 or 47%	30 or 15%
Single bust count	176 or 50%	42 or 74%	252 or 66%	21 or 70%
Double bust count	115 or 33%	11 or 19%	12 or 3%	4 or 13%
Triple+ bust count	60 or 17%	4 or 7%	115 or 30%	5 or 17%
Performance for all busted patterns	−14%	−20%	38%	38%
Single busted performance	−22%	−25%	55%	53%
Non-busted performance	−13%	−22%	42%	25%

Recall that after upward breakouts in bull markets, the stock will bust by dropping. So the stock is heading down (and showing better performance, too!), even as the general market is rising. The same applies to busted downward breakouts (price rises) in bear markets (many stocks drop).

Why does this happen? My only guess is that stockholders know a good or bad situation when they see it and trade with enthusiasm, in spite of what's happening in the general market.

Trading Tactics

Table 11.10 outlines trading tactics for broadening tops.